human and AI will remain a major growth opportunity for many years. Indian human resources are best suited for writing software and delivering SaaS. The software writing and service businesses will best develop in the private sector, with the right kind of policy support from the government. The policy reforms and support need to be built around three broad areas. The government should provide the policy support bigger than the support provided to the IT services in the last twenty-five years.

First, software and SaaS will increasingly be delivered as part of cloud-based services on digital platforms. The cloud resides in data storage parks. The government should bring for data storage parks and cloud services a new scheme of Data Storage Infrastructure Parks. Development of Data Storage Infrastructure Parks should be declared as the most promising infrastructure and environment-friendly activity to enable quick purchase/allotment and conversion of land, and provide all clearance expeditiously, if not given a free pass for all clearance. Likewise, making of digital hardware, establishing digital technology services parks, etc., should also receive most favourable infrastructure creation treatment. The digital infrastructure should be given income tax treatment better than that given to new manufacturing companies in the taxation policy of 2019. This policy will give the requisite push to make India the hub of data storage parks and digital manufacturing.

Second, IT services enjoyed income tax free treatment for many years. The BPO (business process outsourcing) and KPO (knowledge process outsourcing) of the past, which flourished under the tax-free regime, contributed to the faster economic growth India witnessed since the 1990s and has also been one of the best employment generators. It is now time to make IT services more nuanced from the tax viewpoint. Incomes from software development and SaaS should be made tax-free for fifteen years as they would be the primary engines of India’s digital services growth story.